

Overview of Variable Spending Strategies

By reviewing existing research on variable spending, we can identify and describe key representative variable spending strategies from the countless possibilities and classify them into a general taxonomy. I identify three general categories for variable spending strategies:

1. Decision rule methods,
2. Actuarial methods, and
3. Dynamic programming methods.

Key examples from the first two categories are shown in Exhibit 6.4. The third category, based on complex dynamic programming computational methods, moves beyond our scope of coverage and is not widely used in personal finance. That being said, I have created an appendix for the chapter to provide a basic introduction about dynamic programming methods within the context of how they compare to decision rules and actuarial methods.

Exhibit 6.4

Variable Spending Strategies in Retirement

Decision Rule Methods	
1	Bengen's Constant Inflation-Adjusted Spending
2	Fixed-Percentage Withdrawals
3	Endowment Formula: Weighted Average of Methods 1 and 2
4	Endowment Formula: Fixed Percentage of Three-Year Moving Average Portfolio Balance
5	Bengen's Dollar Floor-and-Ceiling Withdrawals
6	Vanguard's Percentage Floor-and-Ceiling Withdrawals
7	Kitces's Ratcheting Rule
8	Guyton and Klinger's Decision Rules
9	Zolt's Glide Path Spending Rule
Actuarial Methods	
10	Modified Required Minimum Distribution (RMD) Spending Rules
	Apply PMT Formula (with different returns, longevity, and spending smoothing)
	Monte Carlo PMT Formulas: